

DEAL INTELLIGENCE

Bridges' \$31M Kingswood Buy Shows Retail Repricing Has a Floor, Not a Ceiling

The 65% discount from 2020 reveals how much basis must reset before institutional capital can underwrite retail again.

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A source-grounded Light Tower Insight.

Kingswood Center in Brooklyn's Midwood neighborhood just traded for \$31 million. That is \$89 million less than it fetched in early 2020. The discount is not the story. The story is that a buyer was willing to underwrite the asset at all.

The 229,926-square-foot shopping center at 1630 East 15th Street sold to Michael Berfield's Bridges Development Group, according to JLL, which represented both the seller and the buyer. The seller was PNC's Midland Loan Services, which took possession from Urban Edge Properties in 2023 after the REIT defaulted on a \$66 million CMBS loan. The buyer secured \$34.65 million in acquisition financing, meaning the deal was levered at roughly 112 percent of the purchase price. That ratio alone tells you the lender is betting on the business plan, not the current income.

The transaction matters because it tests a question the retail market has been circling for three years: at what basis does a distressed shopping center become investable again? The answer, at least for this asset, is roughly \$135 per square foot. That is down from \$387 per square foot in 2020. The repricing is real. The question is whether it is deep enough to attract the capital needed to lease 100,000 square feet of vacant space.

Urban Edge's 2020 purchase was ill-timed by any measure. The REIT paid \$89 million using a \$66 million CMBS loan. The shopping center's annual net operating income fell to \$1.9 million, and occupancy dropped to 35 percent, according to prior reporting. The math was unforgiving: a 2.1 percent cap rate on purchase price, with no margin for error. When the pandemic reshaped retail demand, the income collapsed and the debt service consumed everything. Midland took the keys in 2023.

Now Bridges Development Group is stepping in with a different capital structure. The \$34.65 million loan is not a refinancing of a broken balance sheet. It is new money for a new owner with a new basis. The lender is not underwriting the 2020 story. It is underwriting the 2026 reality: a T.J. Maxx anchor, a renovated 2019 building, on-site parking, and a sponsor who can

execute a leasing plan. The loan proceeds exceed the purchase price, which means the financing is funding both the acquisition and the capital needed to fill the vacant space. That is a vote of confidence in the sponsor, not in the asset's current cash flow.

The deal reveals something about the retail capital stack that has been hard to see through the distress headlines. Lenders are willing to finance retail acquisitions, but only when the basis has been reset to a level where the debt service can be covered by realistic income projections. The 2020 buyer paid a price that assumed occupancy and rent growth that never materialized. The 2026 buyer is paying a price that assumes a long, patient lease-up. The lender is comfortable because the loan is small relative to the asset's replacement cost and because the sponsor has a track record.

For owners of distressed retail assets, the implication is uncomfortable but clear. The market has a bid, but only at prices that imply a complete write-down of the 2020-2021 equity. Urban Edge's loss is not just a single bad investment. It is a data point that the retail recovery is not a return to peak pricing. It is a return to pricing that allows a new owner to make money on the way up, not on the way back.

The deal also highlights the role of CMBS special servicers in setting the clearing price. Midland did not hold the asset indefinitely. It took possession, stabilized the property to the extent possible, and sold at a price that allowed it to recover a portion of the original loan. The \$31 million sale price is roughly 47 percent of the original \$66 million loan balance. That is a significant loss, but it is a known loss. The alternative—holding the asset for another three years—carried its own risks: carrying costs, leasing uncertainty, and the possibility that the bid would not improve.

For the buyer, the deal is a test of execution. Bridges Development Group now controls a 230,000-square-foot shopping center with 100,000 square feet of vacant space. The financing gives it time and capital, but the market will judge the investment on leasing velocity. If the sponsor can fill the space at rents that support the debt service, the deal will look like a smart entry. If the vacancy persists, the basis will protect the lender but not the equity.

The broader market signal is this: retail repricing has a floor, but the floor is not a ceiling. The \$31 million price is not a comp that every distressed shopping center can expect. It is a comp for an asset with a strong anchor, a renovated building, and a sponsor who can command debt. The next test is whether similar deals follow at similar discounts, or whether this is a one-off trade between a motivated seller and a well-capitalized buyer.

The deal is not proof that retail is back. It is proof that retail can trade when the basis is low enough to let a new owner underwrite a realistic future. The 2020 buyer paid for a story. The 2026 buyer paid for a building. That distinction is the market.